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Mercedes Cardona

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Yale Program on Financial Stability
Lessons Learned

Pedro Machado

By Mercedes Cardona

Pedro Machado began his career as a legal adviser to the European Central Bank in the years leading up the Global Financial Crisis (GFC), then joined the Bank of Portugal (BOP) in 2006, where he has held several positions. He was chief of staff to Portugal's minister of state and finance in 2011, during the European Sovereign Debt Crisis, when the government negotiated a bailout with the International Monetary Fund (IMF) and European Union. He returned to the BOP, as deputy director of the prudential supervision department, while the program was being implemented. The EUR 78 billion bailout was largely a success, reducing deficits, improving Portugal's bond yields, and eventually reducing unemployment below pre-GFC levels by the end of the decade. Machado joined the European Union's Single Resolution Board (SRB) in 2020 as head of resolution planning and decisions. This Lessons Learned is based on an interview held in January 2025; the full transcript is available here.

In a crisis, ownership of the process, stakeholder engagement, and institutional strength are crucial to the speed and success of any stability measures.

Machado noted that the GFC was one of the most unstable economic periods Portugal had experienced since the First Republic, the period between the fall of the monarchy in 1910 and the coup that installed a military regime in 1926. But, he continued, the IMF's rescue plan for Portugal was enacted with less opposition than the Greek bailout during that same period and was largely more successful than the programs in Greece and Italy.

Portugal emerged from the three-year plan in better shape, with lower unemployment and improved economic growth. Machado pointed to the institutional strength of the country—in financial, economic, and social terms—as the underpinning of its success. He three key elements for this result:

> The first was the idea of ownership. The program was ours in the sense that the program would not be implemented as something being imposed on us. Of course, there is this issue that the program was agreed to with international institutions, or European institutions, but the program would be undertaken by us as our own. There should be a deep commitment to the involvement and the engagement from all parts of the state, starting from the very high levels through the lower layers of the public administration. I think that idea of ownership was a very important one in contrast, for instance, to my knowledge, to the case of Greece.
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> The second key pillar for me was the broad stakeholder engagement or involvement. The program had three pillars. It had the fiscal pillar, it had the structural reforms pillar, and it had the financial stability pillar. When you look at whatever was needed in terms of execution of each of those pillars, there was always a very deep involvement at the level of certain interest groups that represented key stakeholders in those processes. . . .

> And then finally, I think there was a certain institutional strength, which was a surprise to me. I thought that the institutional framework in Portugal was more feeble than it [was] revealed to be. There was also an organization set up from the very beginning, which reported directly to the prime minister. It was called EXAM [or sometimes ESAME, for Estrutura de Acompanhamento dos Memorandos—the Structure for Monitoring the Memoranda]. It was a horizontal structure, which basically was entrusted with monitoring all the key milestones of the program and coordinating the preparation of each of the quarterly reviews that were undertaken by the Troika.

Establishing resolution processes before a crisis increases readiness; testing these processes can provide policymakers with invaluable experience and information that improve their ability to address a crisis.

When Banco Espirito Santo (BES) collapsed in 2014 and the government had to step in to resolve the institution, the risk to the Portuguese economy was great. But, said Machado, the Bank of Portugal was well positioned to address the situation. He described how the central bank had been monitoring the European Union's process of developing its Bank Resolution and Recovery Directive (BRRD) but decided to proceed with drafting its own resolution directives rather than wait on the EU to adopt the BRRD.

> We decided very early in the program to speed up the resolution framework. The BRRD was being discussed at the time, and it was considered. Many times, we struggled with the fact that: Should we wait for the BRRD? Because we're talking about 2011; the discussions were starting, and we thought that maybe this was such a key legislative piece for the European Union that this was going to be accelerated.
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> But then we saw in 2012 that things were not really getting to the speed that we would be expecting. So we decided not to wait for the BRRD. We front-loaded much of the regime of the BRRD into our own resolution framework, which we adopted by the end of 2012.
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> I think this idea of front-loading, of not really waiting for certain developments to occur on very key pieces of legislation, is very important to cope with crises, and in particular banking crisis management. So we didn't wait. Of course, we took a risk because the BRRD was still at a very incipient state, so we could not draw so much from there. But I think with hindsight, we anticipated broadly the framework of the BRRD. If you make a comparison, the differences are not that big between both pieces of legislation.

Machado also described how once the resolution infrastructure was in place, the Bank of Portugal and the finance ministry conducted a dry run on the basis of another bank, which proved very valuable as a learning exercise.

> It was a very relevant exercise in regard to the key findings that it allowed us to draw on, and also on the experience and the readiness. Even things like: How do you prepare for resolution? The logistics inside the resolution authority: Who should get

> access immediately? How do we set up a team quickly? Access rights, hiring of the independent valuer—which kind of data parameters do you need for the valuation?
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> All this was tested during this dry run, which means that when we were unexpectedly hit with this crisis in mid-2014, a large chunk of the preparedness part was in place at the Bank of Portugal. The Bank of Portugal teams were quite proficient because they had been not only deeply involved in the preparation of the resolution framework, but also in building certain expertise because we had conducted some simulation exercises, which were quite granular.

Front-loading turned out to be a good decision. Machado highly recommends the process to other central banks:

> I think pre-crisis preparedness and readiness is of the essence, and you only achieve it with sound legal frameworks, sound policies, but in particular with testing and operationalization. For me, this is the key driver. If in a country, in whatever country, you want to build crisis management preparedness, you have to go through these exercises. It's very key. Otherwise, the probability that you will not be successful is very high. So for me, this is a major lesson learned from that.

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